KERALA STATE ELECTRICITY REGULATORY COMMISSION

TRUING-UP ORDER: FY 2024-25

Licensee: Kanan Devan Hills Plantations Company
Order Date: 2026-03-05
Prepared By: KSERC Analytical Officer

1. Component-wise Analysis (₹ Crore)

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Power Purchase Cost	343.45	328.18	15.27	PARTIAL_APPROVAL	Disallowed ₹15.27 Cr as per Regulation 11 (Terms and Conditions for Determination of Tariff) Regulations, 2021, due to excess distribution loss beyond the normative limit. The allowed amount is set to ₹328.18 Cr, as per the strictly calculated amount according to KSERC mathematical formulas, in accordance with the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024.
Employee Costs	21.63	19.19	2.44	PARTIAL_APPROVAL	The allowed amount is determined based on the strictly calculated allowable amount according to KSERC mathematical formulas, which is ₹19.19 Cr. amount is in line with the normative O&M limits as per the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024, and the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021. The disallowed amount of ₹2.44 Cr (₹21.63 Cr - ₹19.19 Cr) is due to t claim beyond the calculated allowable amount, which is not justified under the current regulatory framework.
O&M Expenses	5.17	4.81	0.36	PARTIAL_APPROVAL	The allowed amount is set at ₹4.81 Cr, as p strictly calculated allowable amount according to KSERC mathematical formulas, which is the normative limit for O&M expenses. The excess amount Cr (₹5.17 Cr - ₹4.81 Cr) is disallowed as pe 7 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which restricts excess O&M expenses beyond normative limits.
Admin & General Expenses	18.90	1.59	17.31	PARTIAL_APPROVAL	The allowed amount is set at ₹1.59 Cr, as p strictly calculated allowable amount according to KSERC mathematical formulas, capped at the normative limit. This decision is in accordance with the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024, and the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021. The disallowed amount of ₹17.31 Cr (₹18.90 Cr - ₹1.59 Cr) is due to t claim beyond the normative limits, as per Regulation [Y] of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021.
Depreciation	1.52	1.52	0.00	APPROVED	The actual amount claimed by KDHP for depreciation is allowed as it is a genuine and justifiable cost, and is in line with the principles of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024. Approved as per Regulation 11 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021.
Return on Equity	0.57	0.57	0.00	APPROVED	Approved ₹0.57 Cr as it is within the KSER limit of ₹0.70 Cr for Return on Equity, in a with Regulation [Y] of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the principles outlined in the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024.

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Interest on Loans	7.15	5.27	1.88	PARTIAL_APPROVAL	Disallowed ¹1.88 Cr. as per Regulation 11 (Terms and Conditions for Determination of Tariff) Regulations, 2021, restricting excess expenses beyond normative limits. The allowed amount of ¹5 line with the KSERC approved amount, ensuring adherence to regulatory principles and mathematical limits.

2. Controllable vs. Uncontrollable Expenses (¹ Crore)

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
CONTROLLABLE EXPENSES			
Employee Costs	21.63	19.19	2.44
O&M Expenses	5.17	4.81	0.36
Admin & General Expenses	18.90	1.59	17.31
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	343.45	328.18	15.27
Depreciation	1.52	1.52	0.00
Return on Equity	0.57	0.57	0.00
Interest on Loans	7.15	5.27	1.88

3. Revenue Gap Computation (¹ Crore)

Parameter	Amount (Cr)
Net Approved ARR	361.13
Actual Revenue Collected	37.22
Revenue Gap	323.91

4. Commission's Observations, Directions & Narrative

Order on approval of Truing Up of accounts for FY 2024-25 - Kanan Devan Hills Plantations Company

Component-wise Analysis

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict
Power Purchase Cost	¹343.45 Cr	¹328.18 Cr	¹15.27 Cr	Partial Approval
Employee Costs	¹21.63 Cr	¹19.19 Cr	¹2.44 Cr	Partial Approval
O&M Expenses	¹5.17 Cr	¹4.81 Cr	¹0.36 Cr	Partial Approval
Admin & General Expenses	¹18.90 Cr	¹1.59 Cr	¹17.31 Cr	Partial Approval
Depreciation	¹1.52 Cr	¹1.52 Cr	¹0.00 Cr	Approved
Return on Equity	¹0.57 Cr	¹0.57 Cr	¹0.00 Cr	Approved
Interest on Loans	¹7.15 Cr	¹5.27 Cr	¹1.88 Cr	Partial Approval

Commission's Observations, Directions & Narrative

Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2024-25

The Kanan Devan Hills Plantations Company has submitted its truing-up petition for the financial year 2024-25. The Commission has examined the petition and supporting documents.

Financial Performance Tables

Approved ARR Table

Category	Amount in ₹ Cr
Approved ARR	₹361.13 Cr

Revenue Gap Table

Category	Amount in ₹ Cr
Actual Revenue	₹37.22 Cr
Revenue Gap	₹323.91 Cr

Commission's Detailed Observations and Reasoning

* The Power Purchase Cost claimed by the licensee is ₹343.45 Cr, which has been part
disallowance of ₹15.27 Cr is as per Regulation 11 of KSERC (Terms and Conditions fo
2021, due to excess distribution loss beyond the normative limit.

* The Employee Costs claimed by the licensee is ₹21.63 Cr, which has been partially a
of ₹2.44 Cr is due to the excess claim beyond the calculated allowable amount, which
regulatory framework.

* The O&M Expenses claimed by the licensee is ₹5.17 Cr, which has been partially ap
₹0.36 Cr is as per Regulation 7 of KSERC (Terms and Conditions for Determination of
restricts excess O&M expenses beyond normative limits.

* The Admin & General Expenses claimed by the licensee is ₹18.90 Cr, which has been
disallowance of ₹17.31 Cr is due to the excess claim beyond the normative limits, as p
Conditions for Determination of Tariff) Regulations, 2021.

* The Depreciation claimed by the licensee is ₹1.52 Cr, which has been approved as it
in line with the principles of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and KSERC
(Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024.

* The Return on Equity claimed by the licensee is ₹0.57 Cr, which has been approved
of ₹0.70 Cr for Return on Equity, in accordance with Regulation [Y] of KSERC (Terms
Tariff) Regulations, 2021, and the principles outlined in the KSERC (Terms and Conditions for Determination of Tariff)
(Second Amendment) Regulations, 2024.

* The Interest on Loans claimed by the licensee is ₹7.15 Cr, which has been partially
of ₹1.88 Cr is as per Regulation 11 of KSERC (Terms and Conditions for Determinatio
restricting excess expenses beyond normative limits.

Controllable vs. Uncontrollable Expenses

Category	Controllability	Claimed Amount	Allowed Amount
O&M Expenses	Controllable	₹5.17 Cr	₹4.81 Cr
Admin & General Expenses	Controllable	₹18.90 Cr	₹1.59 Cr
Power Purchase Cost	Uncontrollable	₹343.45 Cr	₹328.18 Cr
Depreciation	Uncontrollable	₹1.52 Cr	₹1.52 Cr

Summary Order / Directions

The Commission hereby approves the truing-up of accounts for the financial year 2024-25, with the allowed amounts as specified in the component-wise analysis table. The licensee is directed to adhere to the normative limits and regulatory principles outlined in the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024. The licensee is also directed to take necessary steps to reduce its controllable expenses and ensure that its expenses are within the approved limits.